
A-Worthy Education

H2 Economics 9570 Study Suite

Document 41

Mark-Scheme Reverse-Engineering

Cambridge L1/L2/L3 Jump Phrases Mapped to Framework Steps

Jeremy Lim | @telephonemepls on Telegram

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Contents

1	Why This Document Exists	2
1.1	Band Descriptors (Plain English)	3
1.2	What Trips Most Students at Each Boundary	3
1.3	Demand and Supply Mechanism	4
1.4	Externalities Mechanism	4
1.5	AD-AS Mechanism	4
1.6	Market Structure Mechanism	5
1.7	Fiscal and Monetary Policy Mechanism	5
1.8	Rigour Moves	6
1.9	Application Moves (Singapore Anchoring)	6
1.10	Scope Moves (Showing Range)	7
1.11	EV L1 (Weak) — What to Avoid	8
1.12	EV L2 (Strong) — Substantiated Judgement Templates	8
1.13	Table 1 — “Explain” Questions (typically 6–10 marks)	9
1.14	Table 2 — “Discuss” or “Evaluate” Questions (typically 12–25 marks)	9
1.15	Table 3 — CSQ Higher-Order Sub-Questions (6 or 8 marks)	10

How to Use This Document

Every band has a verbal signature. Learn it, copy it, score it.

1 Why This Document Exists

Examiners do not award marks for content alone. They award marks for *evidence of thought*, and that evidence is signalled by specific verbal moves on the page. The Cambridge mark scheme for H2 Economics 9570 awards three levels (L1, L2, L3) for Knowledge, Application and Analysis (KAA), and two levels (L1, L2) for Evaluation (EV). Each level has a clear verbal signature.

This document does three things:

1. Lists the **exact phrases** that push a script from L1 to L2 and from L2 to L3.
2. Maps each phrase to the **framework step** in the cheat sheets (Documents 05–23) where it should appear.
3. Provides a **self-marking rubric** so you can mark your own scripts to within 1–2 marks of an examiner.

The Core Principle

Bands are climbed by adding specific moves, not by writing more. A short script with the right phrases scores higher than a long script without them.

Part A — The Three KAA Bands at a Glance

1.1 Band Descriptors (Plain English)

Band	What it says	What it really means
L1	“Limited Smattering”	You named the concept. You did not explain how it works.
L2	“Some Ade-quate”	You explained the mechanism but missed depth, scope, or rigour.
L3	“Thorough Rigorous”	You explained the full chain, used the diagram correctly, and applied to context.

1.2 What Trips Most Students at Each Boundary

- **L1 → L2 trap:** Stopping at “demand falls” without saying *why*, *by how much*, or *what then happens to equilibrium*.
- **L2 → L3 trap:** Explaining theory in a vacuum, without anchoring to the case-study extract or to a Singapore example.

Part B — L1 to L2 Jump Phrases (Knowledge → Analysis)

These are the verbal moves that demonstrate *mechanism*. A script that names a concept stays at L1. A script that runs the mechanism in clear sequential steps earns L2.

1.3 Demand and Supply Mechanism

L1→L2: DD/SS jump phrases

- “*Ceteris paribus*, a rise in [factor] increases the willingness and ability of consumers to purchase the good at every price level, shifting the demand curve rightward from D_0 to D_1 .”
- “At the original price P_0 , quantity demanded exceeds quantity supplied, creating a shortage of $Q_d - Q_s$.”
- “This shortage exerts upward pressure on price. As price rises, quantity demanded contracts along D_1 and quantity supplied extends along S_0 until a new equilibrium is reached at (P_1, Q_1) .”

Framework step (Doc 05): Identify shifter → direction of shift → disequilibrium gap → price adjustment → new equilibrium.

1.4 Externalities Mechanism

L1→L2: Externalities jump phrases

- “A negative externality in production exists because the marginal social cost (MSC) of producing the good exceeds the marginal private cost (MPC) by the marginal external cost (MEC).”
- “Profit-maximising firms equate MPC with MPB at output Q_p , which is above the socially optimal output Q_s where $MSC = MSB$.”
- “The deadweight loss to society is the shaded triangle between MSC and MSB from Q_s to Q_p , equal to the sum of net social costs on each over-produced unit.”

Framework step (Doc 07): Define divergence → identify private equilibrium → identify social optimum → shade welfare loss.

1.5 AD-AS Mechanism

L1→L2: AD-AS jump phrases

- “An increase in [autonomous component, e.g. X] shifts AD rightward from AD_0 to AD_1 .”
- “Through the multiplier process, an initial injection of \$1 raises national income by $1/(1 - MPC_d)$, where MPC_d is the marginal propensity to consume domestically produced goods.”
- “Real GDP rises from Y_0 to Y_1 , and the general price level rises from P_0 to P_1 , the

extent depending on the slope of the SRAS curve.”

Framework step (Doc 11): Identify AD component → shift AD → run multiplier → new equilibrium → price/output split.

1.6 Market Structure Mechanism

L1→L2: Market structures jump phrases

- “In the short run, the profit-maximising firm produces where $MC = MR$, at output Q^* , charging the price read off the demand curve at P^* .”
- “Because there are no barriers to entry, supernormal profit attracts new entrants in the long run, shifting the firm’s demand curve leftward until only normal profit is earned, where $AR = AC$.”
- “The monopolist restricts output below the allocatively efficient level Q_{AE} where $P = MC$, generating a deadweight welfare loss represented by the triangle bounded by demand, MC , and the monopoly output line.”

Framework step (Doc 09): State assumptions → derive SR equilibrium → trace LR adjustment → compare with benchmark.

1.7 Fiscal and Monetary Policy Mechanism

L1→L2: Macro policy jump phrases

- “Expansionary fiscal policy via increased government expenditure shifts AD rightward; the multiplier amplifies the initial injection to a final increase of $\Delta Y = k \times \Delta G$.”
- “In Singapore’s small open economy with a high marginal propensity to import, the multiplier value is small (approximately 1.1–1.3), limiting the output effect of fiscal stimulus.”
- “A managed appreciation of the S\$NEER raises import prices in foreign-currency terms and lowers them in domestic-currency terms, dampening imported inflation and cost-push pressure.”

Framework step (Docs 18, 19): Identify instrument → trace transmission channel → apply to Singapore context → state magnitude.

Part C — L2 to L3 Jump Phrases (Analysis → Rigour and Application)

L3 is reached when analysis is *thorough, well-reasoned and contextualised*. The verbal moves below add depth, scope or rigour to an L2 explanation.

1.8 Rigour Moves

Move	Phrase Template
Quantify the magnitude	“Given an MPC of 0.6 and an MPM of 0.4, the multiplier value of approximately 1.25 implies that a S\$1bn increase in G raises Y by only S\$1.25bn.”
State the assumption	“This analysis assumes <i>ceteris paribus</i> , in particular that the exchange rate, interest rate and tax structure do not change.”
Identify the limiting condition	“The effectiveness of this policy depends critically on the degree of spare capacity in the economy. If the economy is operating near Y_F , AS is steep and the price effect dominates the output effect.”
Distinguish short run from long run	“In the short run, sticky wages allow real output to expand; in the long run, wages adjust upward and output returns to the natural rate, leaving only a higher price level.”
Reference the diagram explicitly	“As shown in Figure 1, the leftward shift of AD from AD_0 to AD_1 produces a fall in real output of $(Y_0 - Y_1)$, of which a portion is absorbed by lower prices along the upward-sloping SRAS.”

1.9 Application Moves (Singapore Anchoring)

Move	Phrase Template
Name the policy and year	“Singapore raised its carbon tax from S\$5 per tonne in 2019 to S\$25 in 2024, with a scheduled rise to S\$45 by 2026 and S\$50–80 by 2030.”
Quote a figure from the extract	“As Extract 2 shows, headline inflation peaked at 6.1% in 2022, above MAS’s medium-term comfort range of 1.5–2%.”
Link policy to context	“Because Singapore is a small, open, price-taking economy, monetary policy is conducted via the exchange rate rather than the interest rate, which is determined externally.”
Reference a real institution	“The Monetary Authority of Singapore (MAS) operates a managed float against an undisclosed basket of trade-weighted currencies (the S\$NEER) within a target band.”
Use a Singapore-specific dataset	“Resident unemployment in Singapore averaged 2.8% in 2024, well below the OECD average of 4.9%, suggesting the labour market is close to full employment.”

1.10 Scope Moves (Showing Range)

L2→L3: Scope-broadening phrases

- “The impact differs across stakeholders. Consumers face higher prices; producers gain higher revenue if demand is price-inelastic; the government collects more tax revenue if the policy is a per-unit tax.”
- “The short-run and long-run effects diverge. In the short run, the policy raises prices and lowers output. In the long run, supply-side adjustment may shift LRAS rightward, offsetting the initial contraction.”
- “The magnitude varies with the elasticity of demand. For an inelastic good such as petrol ($PED \approx -0.3$), a per-unit tax falls predominantly on consumers; for an elastic good such as foreign holidays ($PED \approx -2$), it falls predominantly on producers.”

Part D — The Evaluation Ladder (EV L1 to EV L2)

Evaluation marks are awarded separately. Most students plateau at EV L1 (“unsubstantiated judgement”). The move to EV L2 requires the SPECIES+A framework (see Doc 24B): **Short/long run**, **Priorities**, **Extent**, **Cost**, **Impact**, **Efficacy** of alternatives, **Side-effects**, **Assumptions**.

1.11 EV L1 (Weak) — What to Avoid

Avoid these openings: “In conclusion, the policy is effective.” / “Overall, I think this works.” / “However, there are limitations.”

These are L1 because they make a judgement without substantiating it. The reader cannot tell why you reached that view.

1.12 EV L2 (Strong) — Substantiated Judgement Templates

EV L2 phrase templates

Two-handed weighing:

“On balance, the policy is likely to be effective *provided that* [condition], *because* [reason]. However, this conclusion is contingent on [assumption], without which [counter-outcome] would result.”

Magnitude-based judgement:

“The estimated multiplier of 1.25 means a S\$1bn fiscal injection raises Y by S\$1.25bn — modest relative to the output gap of S\$5bn. Fiscal policy alone is therefore unlikely to close the gap; it should be combined with supply-side measures.”

Time-horizon judgement:

“In the short run, the policy effectively raises employment because nominal wages are sticky. In the long run, wage adjustment erodes the output gain, leaving inflation higher. The policy is therefore a short-run stabiliser, not a long-run growth tool.”

Stakeholder judgement:

“The policy raises welfare for low-income households (who gain the transfer) but reduces it for high-income households (who finance it through higher taxes). The net welfare effect depends on the relative weights placed on equity and efficiency.”

Part E — The Mark-Scheme Reverse-Engineering Tables

These tables show, for each common question type, exactly which phrase wins each mark.

1.13 Table 1 — “Explain” Questions (typically 6–10 marks)

Mark	Awarded for	Phrase that earns it
1	Defining the term	“A negative externality is a third-party cost imposed on those not party to the transaction. . .”
1	Identifying the diagram	“Figure 1 plots MPC, MSC, MPB on price-quantity axes.”
2	Stating the mechanism (one sentence per step)	“Profit-maximising firms produce at Q_p where $MPC = MPB$, which exceeds Q_s where $MSC = MSB$.”
1	Identifying the welfare loss	“The shaded triangle from Q_s to Q_p between MSC and MSB is the deadweight loss.”
1	Application to context	“In the case of carbon emissions in Singapore, the external cost includes health damage from PM2.5 and long-run climate damage.”

1.14 Table 2 — “Discuss” or “Evaluate” Questions (typically 12–25 marks)

Band	KAA / EV split	What it looks like
L1 KAA	1–5 marks	One side of the argument only, no diagram or wrong diagram, no mechanism.
L2 KAA	6–10 marks	Both sides discussed with mechanism and one correct diagram, but missing application or rigour.
L3 KAA	11–15 marks	Both sides with mechanism, correct diagrams, magnitude/elasticity/assumption rigour, Singapore application.
L1 EV	1–3 marks	Unsubstantiated judgement at the end.
L2 EV	4–5 marks	Substantiated judgement using SPECIES+A criteria, conditional on stated assumptions.

1.15 Table 3 — CSQ Higher-Order Sub-Questions (6 or 8 marks)

Mark	Awarded for	Phrase that earns it
1–2	Quoting extract data	“Extract 3 states that Singapore’s headline CPI rose 5.5% YoY in 2022.”
1–2	Linking data to concept	“This is consistent with cost-push inflation arising from imported fuel and food prices, as documented in Extract 2.”
2	Running the diagram-based mechanism	“The SRAS curve shifts leftward from $SRAS_0$ to $SRAS_1$, raising the price level from P_0 to P_1 and lowering real output from Y_0 to Y_1 .”
2	Stating a magnitude or limitation	“Given Singapore’s import dependence (imports $\approx$ 150% of GDP), the pass-through is large and rapid.”

Part F — The Self-Marking Checklist

Use this checklist after every practice essay or CSQ. Tick each criterion only if the marker could underline the supporting sentence on your script.

Self-Marking Checklist (KAA)

Knowledge (definitions and identification)

- ☐ All key terms defined at first use.
- ☐ Correct diagram drawn, axes labelled, equilibrium points marked.

Application (context)

- ☐ At least one Singapore example named with year and figure.
- ☐ Each piece of theory linked to the extract or to the case context.

Analysis (mechanism)

- ☐ Each cause → effect step is stated as one sentence.
- ☐ The chain ends at a new equilibrium, not in mid-air.
- ☐ At least one magnitude (multiplier, elasticity, percentage) is quoted.
- ☐ One assumption is explicitly stated.

Self-Marking Checklist (EV)

- ☐ Judgement made (“the policy is effective *provided that...*”).
- ☐ At least two SPECIES+A criteria used.
- ☐ An alternative policy considered and rejected (or accepted) with reasoning.
- ☐ A condition or assumption named on which the judgement depends.

Self-marking rubric

Award yourself the band for which all criteria are ticked. If even one criterion in a band is missing, you are in the band below. This is harsh, but it is exactly how examiners read scripts.

Part G — One-Page Summary (Memorise This)**The Six Phrases That Win Marks**

1. **Define:** “X is defined as ...”
2. **Shift:** “Ceteris paribus, [event] shifts [curve] from X_0 to X_1 because ...”
3. **Mechanism:** “At the original price, [disequilibrium]. This causes ... until a new equilibrium at (P_1, Q_1) .”
4. **Magnitude:** “Given an elasticity of -0.3 (or a multiplier of 1.25), ...”
5. **Apply:** “In Singapore’s [context], this matters because ...”
6. **Judge:** “On balance, the policy is effective *provided that* [condition], because ...”

Final reminder

A script that uses all six phrases, even briefly, is almost always L3 KAA + L2 EV. A script that uses none of them, no matter how long, will not exceed L2 KAA + L1 EV.

End of Document 41.